
3. There is also no federal limit on interest rates.

Don't you find it odd that in a time of very low interest on anything from car loans to mortgages, credit card companies can hand out APRs that embarrass loan sharks? Well, it's not unusual to see 29.99% APRs, especially as a default rate, and the reason is simple. Most credit card companies reside in states like South Dakota or Delaware. These states have very weak or even no "usury laws." So, there's no cap on interest. By law, there's nothing to stop them charging whatever interest they want.

4. Cash advances hit you twice in the wallet.

First, as I'm sure you know, you'll get an APR averaging 24% applied to your cash advances. But you also get hit with a transaction charge, up to 4%. Even credit cards that confidently announce "no finance charges" can still bill you for transaction charges.

5. The fine print is a web of deceit.

Let's be honest—these days you need two hours and a law degree from Harvard to understand the mumbo-

jumbo in the fine print. But try and read it if you can, because this is where the credit card issuer can hide a whole bunch of nasty surprises. The biggest is scarier than Godzilla on crack. Basically, the credit card issuer can change your APR at *any* time, as long as they give you 45 days' notice. No reason required. Imagine if any other industry worked that way, like your mortgage? While you're reading the fine print, also check for things like purchase protection, lifetime warranty coverage, and travel discounts. These may end when your introductory rate ends. And speaking of that, what does your introductory rate become after the teaser period? It could be more than you bargained for, especially if it's a variable APR.

6. Good payers are called deadbeats!

Deadbeats—it's what credit card companies call those folks who are responsible and pay off the balance each month. They don't like those people, not one bit. That's because they make little to no money off of them. No, credit card companies like you to carry a nice hefty balance and pay only the minimum each month. What a crazy upside-down world credit is.